A Tax Perspective on the Enforcer's True Role in Onshore and Offshore Common Law Jurisdictions

Habbine Estelle Kim[1]

Lawyer (Paris & New York)

ABSTRACT

The queries and contentions regarding the place of the enforcer principle in common law jurisdictions such as that of the United Kingdom have been orphaned in a conceptual pandemonium, bringing about an identity crisis to the realm of Trusts & Equity. Debates as to what constitutes the kernel of trusts have shed little light in determining the practical use, values and dangers of the enforcer principle. Moreover, there exist little expository publication clearly elucidating why such principle happens to mainly be invoked in offshore jurisdictions notably known to be tax havens. This essay seeks to show how commercial non-charitable purpose trusts without beneficiaries, often combined with other artificial corporate structures, help businesses engage in more aggressive tax planning. A particular focus will be set on the practical, economic function of non-charitable purpose trust enforcers in both onshore and offshore jurisdictions. The findings will show that if left untrammelled, there is a risk that businesses will come up with creative manoeuvres undermining the taxation ethics and seek to avoid tax in the commercialising market economy.

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INTRODUCTION

Trust is "losing its shape"[2] as it evolves as an effective instrument of commerce in an incrementally globalising environment.[3] Although there is currently little scholarly understanding of commercial trusts[4], significant efforts are made to promote their recognition and use.[5] Non-charitable purpose ("**NCP**") trusts[6], for example, are used in offshore jurisdictions for various commercial and fiscal advantages[7] in the context of off-balance-sheet transactions and cross-border debt securitisation.[8] However, problematics emerge as artificial NCP trusts, often combined with various forms of corporate structures and offshore jurisdiction shopping, are applied as subterfuge for unethical tax avoidance practices.[9] The legal validity and social legitimacy of these complex, nocuous constructs remains highly questionable.

This essay seeks to demonstrate that the enforcer scheme can help aggressive tax planning amidst the combined operations of NCP trusts, artificial corporate mechanisms and divergent onshore/offshore tax regimes. The analysis goes beyond the mere observance of the United Kingdom's ("**UK**") legal framework on private trusts to consider the international political-

[2] A Hofri-Winogradow, 'Substance Without Form' (2013) 11 TQR 20

[3] C von Bar and E Clive (eds), Principles, Definitions and Model Rules of European Private Law: Draft Common Frame of Reference, vol 6, full edn (2009); Draft Common Frame of Reference (DCFR) for a European private law in Book X <http;//ec.europa.eu/justice/contract/files/European-priavte-law_en.pdf> (On the creation of model rules for a system-neutral trust); S C J J Kortmann, D J Hayton, N E D Faber, K G C Reid and J W A Biemans (eds), Towards an EU Directive on Protected Funds (2009) 277 at 299-301 (On an unofficial proposal for a new EU legislation on protected funds in the commercial sphere); Recognition of Trusts Acts 1987 (Facilitating the choice of foreign law to govern what would otherwise be an English trust.)

[4] Steven L. Schwarcz, Commercial Trusts as Business Organizations: Unravelling the Mystery, 58 BUS. LAW. 559, 560 (2003); Hansmann, H., and , Ugo, M., The Functions of Trust Law: A Comparative Legal and Economic Analysis (1998). New York University Law Review, ol.73, No.1, http://ssrn.com/abstract=135732 ("*Trust-like institutions" include special guardianship institutions to manage assets on behalf of minors or incompetents*.")

[5] Hansmann, H., and , Ugo, M., The Functions of Trust Law: A Comparative Legal and Economic Analysis (1998). New York University Law Review, ol.73, No.1, http://ssrn.com/abstract=135732 (referring to the Hague Convention on the Law Applicable to Trusts and on their Recognition, concluded July 1, 1985 (Hague Conference on Private International Law, available at http://www.hcch.net/e/conventions/text30e.html), providing conflicts of law rules by which non-trust countries can recognize foreign trusts).

[6] Hart, "What is a Trust?" (1899) 15 LWR 291, cited in Anthony Duckworth, "STAR WARS: Smiting the Bull" (1999) 13 TLI 158 at 165. 14 (NCP trusts are also known as "*trusts of imperfect obligation*.")

[7] Matthews, P., The New Trust: Obligations without Rights, in Oakley, Trends in Contemporary Trust Law (1996)

[8] A Duckworth, The Trust Offshore (1999) 32 Vand J Transnat'l L 879, 933; The Asset Protection Book, "Purpose Trusts" http://www.assetprotectionbook.com/purpose_trusts.htm, 1.

[9] Webb, J. P., An Eever-Reducing Core? Challenging the Legal Validity of Offshore Trusts (2015)

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economic climate on taxation. This integrated approach will help unveil the economic reality and substance hidden under the combined use of NCP trusts and corporate constructs: tax avoidance.[10]

The first section of the essay will examine the different combinations and permutations of artificial commercial NCP trust constructs and companies used to engage into a more advantageous, aggressive tax planning. The essay seeks to demonstrate in what ways the NCP trusts, the enforcer principle and other artificial structures can be used in onshore and offshore contexts to damage the pursuance of a fair, structured and pro-business tax regime in the UK. This will be done by exploring the role of the enforcer vis-à-vis commercial NCP trusts and companies in Cayman Islands, Mauritus and Jersey.

The Second section of the essay will observe the domestic and international attitudes towards tax avoidance by considering the political-economic jurisprudence and climate on tax avoidance. The practical solutions proposed and established to merge the tax gap will be assessed.[11]

[10] Walker, R., Ramsay 25 Years On: Some Reflections on Tax Avoidance (2004) L. Q. R. 412 ("*nominal settlor, concealed beneficiaries, and questionable fiduciary control manifested via various methods including: relief; finding a gap; exploiting; anti-avoidance karate; unnatural assets or transactions; pre-ordained transactions; dodgy offshore schemes.*")

[11] Murphy, R., Tax Research (22/03/2016) Email to David Hook (Referring to Mind the Tax Gap (2006), Murphy states that the tax gap consists of absolute, corporate, taxpayer, government, international and national gaps); HMRC Measuring Tax Gaps 2015 (Quantifying tax gap as being the "*difference between amount of tax that should, in theory, be collected by HMRC, against what is actually collected.*")

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PART I: THE APPLICATION OF NCP TRUSTS AND THE ENFORCER PRINCIPLE IN ONSHORE AND OFFSHORE JURISDICTIONS

Offshore trusts law and wealth holding structures were often invoked to compensate for the perceived deficiencies in the domestic trusts law[12], including: the perpetuity rule; the invalidity of NCP trusts[13]; and the rule against accumulations[14]. However, the amalgam of artificial NCP trusts, enforcer principle and corporate entities can be put to perverse use to corrupt the "very fabric of markets"[15]. For example, offshore NCP trust structures can be used for tax inversion.[16] This section will examine the use of the hybrid trusts-corporate special purpose vehicle ("**SPV**") to show how trusts and corporate structures can interact in parallel to each other to provide certain advantages to tax planning. Through the case studies on the Cayman Islands, Jersey and Mauritus offshore jurisdictions, this section will cover the different characteristics of the NCP trusts and the enforcer scheme that are exploitable.

A) Trusts and Corporate Special Purpose Vehicle

NCP trusts can be used to diversify risk and avoid entity-level tax.[17] For example, NCP trusts are favoured over corporate forms in contexts of securitization transactions where bankruptcy remoteness is unimportant. This is because creditors of a corporate SPV may be concerned that the directors subject that corporate SPV into bankruptcy in order to protect the shareholders' equity interest. This could suspend the creditors' right to payment and possibly compromise their claims.[18] The trustee of a trust SPV, however, has a duty of impartiality: he must

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[12] Hayton, D., A Review of Current Trust Law Issues (2008), Tru. L. I. 22(2), 81-100

[13] Although commercial NCPs have been used to help tax planning offshore, English equity is not yet ready to countenance such obvious cases of beneficially ownerless property; *Re Denley's Trust Deed* [1969] 1 Ch 373, per Godd J (The beneficiary principle only invalidates abstract purpose trusts. An NCP trust will be upheld provided there is an ascertained or ascertainable class of people who would benefit directly or indirectly the trust fund. The benefit must not be too indirect or intangible.); *Re Grant's Will Trusts* [1979] 3 All ER 359, per Vinelott J (The trust in *Re Denley* was for the employees directly)

[14] *Re Dodwell & Co Ltd's Trust Deed* [1979] Ch 301. (This rule does not apply to a corporate settlor.)

[15] Picciotto, S., and Shaxson, N., Make Corporate Tax Rules Fair for All (2012) http://www.ft.com/cms/s/0/798f30d2-3242-11e2-916a-00144feabdc0.html#axzz43dm1o5Ld; see also Shaxon, N., Follow the Money: Inside the World's Tax Havens (2015) http://www.theguardian.com/business/2015/jun/19/tax-havens-money-cayman-islands-jersey-offshore-accounts (Revealing the convoluted tax schemes used by multinationals such as: AIG, Aviva, Barclays, Burberry, FedEx, Microsoft and Walt Disney.); Note: No offshore jurisdiction has sought to expand the use ot discretionary trusts in relation to certainty of objects (*McPhail v Doulton* [1970] UKHL 1) ("*A trust should be upheld if there is sufficient practical certainty in its definition for it to be carried out, if necessary with the administrative assistance of the court, according to the expressed intention of the settlor*.")

[16] See Annex 1, Tax Rates (2015)

[17] Schwarcz, S.L., Structured Finance, a Guide to the Principles of Asset Securitization Cardozo Law Review (1996), Vol. 17, No. 3 [5: 2.3], 5-11

[18] Schwarcz, S.L., Rethinking a Corporation's Obligations to Creditors (1993), Practising Law Institute (2nd ed) at 684

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not favour the settlor over the SPV's creditors. The opposite is also true: the corporate SPV is preferred[19] where bankruptcy remoteness is critical to the success of the financial transaction.[20] Moreover, as it can be observed in the Tax Rates Chart (see Annex 1), the corporate and capital gains tax ("**CGT**") rate for the year 2015 in offshore jurisdictions was lower than those in the UK, making offshore trusts and incorporation of corporate entities more attractive than the domestic alternative.

SPV structures can also help ring-fence one part of a business to prevent it from contaminating another section of the business through uncontrolled losses, split ownership via secrecy walls or even suspend property so as to make it ownerless and avoid tax.[21] For example, if a company puts its SPV company assets into an offshore NCP trust, the assets are no longer bound by the regulatory or tax requirements of the jurisdiction where the SPV company was incorporated. The assets are shifted off its balance sheet and the SPV company is left ownerless. Consequently, difficulties arise in determining who will be responsible for filling up this tax gap. Moreover, often is the case that charitable trusts be involved in SPV companies, whose equity share capital is held by the trustees of a charitable or NCP trust.[22] In 2007, for example, the British Bank Northern Rock crafted a complex scheme that amalgamated corporate SPV and trust structures and even involved a charity for children with Down's syndrome without consent or notice.[23] These kinds of legal structures aim to deflect the risk of ownership arising from the settlor's pretence of not controlling the artificial construct.

[19] The Committee on Bankruptcy and Corporate Reorganization of the Association of the Bar of the City of New York, Structured Financing Techniques, 50 Bus. Law. 527, 571 n.130 (1995) ("*[E]ven in a structured financing in which a trust is used to issue the asset-backed securities, an intermediary corporate SPV is often used as the initial transferee of assets from the originator p…) in part because of the uncertain status that a trust might have under applicable commercial law principles*.")

[20] Schwarcz, S.L., The Universal Language of International Securitization (2002), Duke Journal of Comparative & International Law, Vol.13, 285-308, at 291 (observing that a true sale may be unnecessary in jurisdictions where a secured creditor "would be able to enforce its rights against the [collateral] in the event of the local law equivalent of a bankruptcy case").

[21] Tax Justice Network, In Trusts we Trust (2009) <http://taxjustice.blogspot.co.uk/2009/07/in-trusts-we-trust.html>

[22] Ibid. ("*A trust must have an identifiable beneficiary to exist and, for that reason, nearly all trusts include a long stop charity as a beneficiary in case all of the named beneficiaries should die. To use a trust for commercial purposes it is therefore necessary to employ a charitable trust whose real purpose is commercial*.")

[23] Murphy, R., Northern Rock – the Questions Needing Answers (2007), http://www.taxresearch.org.uk/Blog/2007/09/17/northern-rock-the-questions-needing-answers/#sthash.wDkYTKxN.dpuf

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B) Case Studies

i) Cayman Islands

Despite its foundation in English common law, Cayman Islands' Special Trusts (Alternative Regime) Law 1997 ("**STAR Law 1997**") creates a separate category of trusts that allows for a valid creation and enforcement of NCP trusts.[24] The latter is often used in structured finance, repackaging of securities and other commercial transactions in a flexible, bankruptcy-remote manner. Nevertheless, the STAR Law 1997 can also be used to separate ownership and enforcement to obscure the identity of the true, hidden beneficiary of the trust asset: the settlor.[25]

Firstly, the extension of the enforcers' rights to enforce trusts "[to every trust created by or on the terms of the same instrument, or pursuant to a power so created]"[26] enables the settlor to engage in layering processes. These processes comprise disguised substance of transactions that allow the settlor to indirectly exert a measure of control over the assets. It must be noted that trust structures can help unbundle different aspects of ownership. These include the legal title to the asset, the right to an income stream from an asset, as well as the right to control the asset and direct how it is used. Furthermore, layering processes, constituting a combined use of onshore and offshore legislation as well as different corporate and trusts structures, can create the impression that the settlor is strictly separated from the trust assets. In reality, however, the settlor would be indirectly controlling the entire body of complex constructs veiled under the shell of STAR Trusts with the enforcer ensuring that the artificial purposes of the NCP trusts are carried out.

Indeed, offshore jurisdictions permit the settlor to maintain extensive powers of control[27] in contrast to the onshore UK jurisdiction.[28] For example, an owner of a company registered offshore can devise a strategy to avoid corporation tax via the creation of an intermediate STAR NCP trust structure, to later invoke holding companies and/or phoenix companies in another offshore secrecy jurisdiction with enhanced confidentiality arrangements. These schemes increase the distance between the tripartite trust fund constituencies: the settlor; the trustee; and the beneficiary. Such result will allow the "actual beneficial owner"[29] to add multiple walls of protection behind which he can stay invisible and undeclared to the eyes of the tax authorities. These legal

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[24] Part VIII STAR Law 1997

[25] Tax Justice Network, In Trusts We Trust (2009) http://taxjustice.blogspot.co.uk/2009/07/in-trusts-we-trust.html ("*Trusts may involve a trust protector who is an intermediary between the grantor (S) and the trustees, but whose purpose may actually be to carry out the desires of the grantor.*")

[26] S.100(3) Part VIII STAR Law 1997

[27] Tey, T.H., The Settlor's Reserved Powers (2009) 23 TLI 183; McKenzie, C., Having the Cake and Eating it: A Global Survey of the Settlor's Reserved Power Trusts (2007) 5 PCB 336, 428.

[28] *Re Astor's Settlement Trusts* [1952] Ch 534 (The settlor must drop out of the picture)

[29] S.100(1) Part VIII STAR Law 1997 (A beneficiary of a STAR trust – if any – does not have a locus standi or right to information about the trust despite having proprietary interest in the trust fund. C.f. *Schmidt v Rosewood Trust Ltd* [2003] UKPC 26 where proprietary interest determined the right to access trust information. This suggests that the true purpose of constructing STAR trusts is for the benefit of the real 'ghost beneficiary': the settlor.) Appleby, Guide to STAR Trusts in the Cayman Islands (2015) http://www.applebyglobal.com/guides/guide-to-star-trusts-in-the-cayman-islands-(january-2015).pdf; Mander, H., Mondaq, British Virgin Islands: Cayman Trusts: Star Trusts (2013); http://www.mondaq.com/x/223186/Trusts/Cayman+trusts+star+trusts

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barriers can also engender information barriers hampering tax authorities and governments from determining what can be taxed and who will be bearing its costs. This allows the actual beneficial owner to diverge his tax liabilities that he should be paying for, by benefiting from the artificial construct. As consequence, the revenue gathered by the government is reduced and left with a tax gap, preventing accurate wealth assessments.

The requirement that there must be a trust corporation licensed in the Cayman Islands[30] helps pass the residency requirement and may serve to clarify uncertainties that may arise in determining the 'management and control' of a business operating under the relevant STAR trust. This can help get away with the UK's CGT if the trust is resident in Cayman Islands, giving STAR trusts a clear advantage over a trust set within the UK. For those planning to set up offshore companies in order to avoid the UK corporation tax on the profits of a UK trade or CGT, these requirements can help ensure that the central management and control is based overseas. Reduced will be the likelihood that the HM Revenues & Customs sees the UK resident shareholders as influencing the directors to such an extent that they run the company, subjecting them to tax. The presence of an enforcer, which is mandatory in STAR trusts, can further confirm foreign management and control of the corporate structures operating under the umbrella of STAR NCP trusts.

Moreover, Cayman Islands adopts a pro-commerce attitude when it comes to STAR NCP trusts. For example, uncertainties as to the STAR NCP trusts' objects or mode of execution can be resolved by the Court or an individual via the trust deed[31], and do not render the trust void[32]. If the trusts become administratively unworkable, impossible, illegal or obsolete so as to not be able to carry out the purpose of the trust, the trustee can reform the trust[33]. Otherwise, the Court can adopt the *cy-près* doctrine.[34] STAR NCP trusts even denies a beneficiary the power to hold the trustee to account[35], thus eliminating the possibility of applying *Saunders v Vautier*[36] rights. The enforcer of the STAR NCP trust absorbs all the beneficiary's rights under an ordinary trust[37] and even enjoys indemnity.[38] This compromises the obligation theory and trustee's "irreducible core duties" in the case *Armitage v Nurse*[39] which includes the beneficiary's correlative rights of enforcement.

Finally, STAR trusts can also be used by "hedge funds forming mutual funds as unit trusts, where the fund managers wish to eliminate any obligation to attend meetings of the companies in whose securities they invest"[40]. This undermines the general rule that a trustee must take a positive

[30] S.105 Part VIII STAR Law 1997
[31] S.103(4) Part VIII STAR Law 1997
[32] S.103(1) Part VIII STAR Law 1997
[33] S.103(2) Part VIII STAR Law 1997
[34] S.104 Part VIII STAR Law 1997
[35] S.8(1) STAR Law 1997 (An enforcer is the only person with locus standi to enforce the terms of the STAR trust.)
[36] (1841) EWHC Ch J82
[37] S.102(a) Part VIII STAR Law 1997
[38] S.102(b) Part VIII STAR Law 1997
[39] [1997] EWCA Civ 1279
[40] Tax Justice Network, In Trusts We Trust (2009) http://taxjustice.blogspot.co.uk/2009/07/in-trusts-we-trust.html

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role in the affairs on the company in cases where a trust property includes the company's shares.[41] There is also little likelihood that the courts in onshore jurisdictions will derogate from the Convention of 1 July 1985 on the Law Applicable to Trusts and on their Recognition.

ii) Jersey

As opposed to the elaborate STAR Law 1997, Jersey's Trusts (Jersey) Law 1984 ("**TJL 1984**") contains cursory and laconic provisions on NCP trusts and enforcers. At face value, art.11(2)(a)(iv) of the TJL 1984[42] merely indicates that it is by the virtue of the enforcers that NCP trusts can come to existence. Hence, it could be argued that the enforcer merely exists to bring NCP trusts into parturition. Nevertheless, this does not help us grasp the true role of the enforcer and the purpose of the enforcer's existence in NCP trusts. Some argue that the enforcer is a fiduciary[43] by virtue of his very profession and identity: that the settlor selects and remunerates enforcers without attaching professional or fiduciary standard of responsibilities means to "ignore common sense and the very purpose of the appointment of an enforcer"[44]. Some claim that an enforcer is a non-beneficial power holder[45] with an irreducible core of obligations[46] to enforce the proper execution of trust. Others argue that enforcers have a duty of undivided loyalty, without which the trust represents a "mere amalgam of historically and often pragmatically adopted ideas"[47]. Generally, courts have held that the position itself is a fiduciary one, save for the existence of special circumstances.[48] Tsun Hang Tey would describe the enforcers in the TJL 1984 as having a function a "watchdog"[49], existing for the sole purpose of monitoring the trustee's activities to ensure that the trust is administered to satisfy the purpose for which it was established. The gap in explanations on the rationales as to why this is so reflects the loophole in the very statute that can be exploited to provide an invisibility cloak to the true beneficial owner: the settlor. The settlor is thus empowered to use the Jersey's NCP trusts construct as he wishes.

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[41] *Bartlett v Barclays Bank Trust Co Ltd* [1980] 1 Ch 515

[42] Exception to art.11(2)(a)(iv) of the TJL 1984 rejecting NCP trusts without beneficiaries.

[43] Pryke, S., Protectors and Enforcers: Duties and Considerations (2010) http://www.step.org/protectors-and-enforcers-duties-and-considerations#sthash.srrRObTV.dpuf

[44] Bove, A. A., Trust Enforcers: A Practice Manual with Forms (2014), 24-25, https://books.google.co.uk/books?id=EotNBAAAQBAJ&pg=PA16&dq=bermuda+star+tryst&source=bl&ots=ypOgRdRRxu&sig=1NtxAvW5xA4o0hbvsstrOgmn8wo&hl=ko&sa=X&ved=0ahUKEwjvn8zn1bLLAhWkK5oKHRs4DcUQ6AEIWDAI#v=onepage&q=bermuda%20star%20trust&f=false

[45] Tey, T. H., Trust Protector (2008) 20 SAcLJ 99.

[46] *Armitage v Nurse* [1997] ECWA Civ 1279, per Lord Millett LJ; *Citibank NA v MBIA Assurance SA* [2007] 1 All ER (Comm) 475 (Which involved a contractual term which effectively allowed the trustee to disregard the interests of the beneficiary)

[47] D Waters, The Trust in a Changed Yet Changing World (2008) 15 JTCP 205

[48] *Rawcliffe v Steele* [1993] Manx LR 426 (Isle of Man); *Re Freiburg Trust, Mourant & Co., T, Ltd. v Magnus* [2006] 6 ITELR 1078 (Jersey RC); *In the Matter of the Circle Trust* [2006] CILR 323, 330 (Cayman Island)

[49] Tey, T. H., Duties of a Trust Enforcer (2010) Singapore Academy of Law Journal 22

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It is argued that the enforcer exists mainly to monitor the trustee's activities and the performance of the purpose of the private trust[50] to achieve the settlor's intentions[51]. This can be inferred from various parts of the TJL 1984. For example, TJL 1984 supplies a mechanism for the positive enforcement of the trust so that the trustee be under an obligation to account to someone "in whose favour the court can decree performance."[52] However, the eligibility criteria without restriction in Jersey[53] can be problematic as the 'random' enforcer may not have the appropriate characteristics and capacity to supervise, monitor and enforce the trust. This flexible eligibility criteria and characteristics of enforcer candidates endow the settlor with extensive, discretionary selection, removal and replacement powers.

Moreover, the trustee, who can neither be an enforcer[54] nor profit from his office unless authorised to do so in the trust instrument or by law[55], merely carries a nominee role. Meanwhile, the settlor holds extensive "reserved powers"[56]. His binding appointment and/or removal directions bites corporate entities[57] as well as the trust deed constituencies[58]. The settlor can even claim the property back via this "revocable NCP trusts"[59]. In other words, the settlor continues to have absolute beneficial ownership and control of the trust fund, which is contrary to the judgment in the case *Twinsectra v Yardley* where it was held that "a settlor who retains no beneficial interest cannot enforce the trust which he has created."[60]

However, Murphy fustigates the aforementioned provisions as allowing for the creation of "[sham trusts and bogus transactions]"[61] that are held to be consistent with the settlor's original intention.[62] The English Supreme Court recently held that tax avoidance was illegal in a recent case where UBS engaged a Jersey-based firm to set up a financial SPV structure for the purpose of

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[50] Waters, D., Protectors and Enforcers: Drafting the Trust Instrument [2000] 8(4) JITCP at 24

[51] Paul U Ali, Publication Review: Trusts and Related Tax Issues in Offshore Financial Law by Rose Marie-Antoine (2006) 21(1) JIBLR 58 at 58

[52] Hayton, D. J., Developing the Obligation Characteristic of the Trust, L. Q. R. (2001), 117 (Jan.), 96-108; see also *Morice v Bishop* [1905] EWHC Ch J80 ("*There can be no trust over the exercise of which a court cannot assume control.*")

[53] Zillah Howard from Bedell Cristin law firm (Jersey), "NCP trusts", http://www.bedellgroup.com/siteFiles/resources/docs/insights/Briefings/Trusts%20-%20Jersey%20Briefings/non-charitablepurposetrusts.pdf

[54] Art.13(2) TJL 1984

[55] Art.21(4) applied pursuant to art.13(3) of the TJL 1984

[56] Art.9A TJL 1984

[57] Art.9A(2)(c) TJL 1984 (Including "a director or officer of any corporation wholly or partly owned by the trust")

[58] Art.9A(2)(e) TJL 1984 (Including "*the trustee, enforcer or beneficiary, or any other person who holds a power, discretion or right in connection with the trust*")

[59] Art.47A(3) TJL 1984

[60] *Twinsectra Ltd v Yardley* [2002] UKHL 12 Per Lord Millett at [96]

[61] Murphy, R., Jersey Passes Law Allowing 'Sham' Trusts for Use by Tax Evaders (2006) http://www.taxresearch.org.uk/Blog/2006/06/15/jersey-passes-law-allowing-%E2%80%98sham%E2%80%99-trusts-for-use-by-tax-evaders/#sthash.0oSeNfZF.dpuf

[62] Art.47A TJL 1984

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avoiding tax.[63] Senator I. J. Gorst claimed that Jersey has taken measures against aggressive tax avoidance as well, by "[entering into a number of agreements, meeting international standards and trying to ensure with the setting up of the Sound Business Committee.]"[64] He adds that Jersey considered adopting a new "sniff test" to determine what would be considered as aggressive tax avoidance.[65] However, Jersey remains more lax than the UK, as it was stated that "[while we want to play our part in countering abusive tax schemes, we support fair tax competition.]"[66] Moreover, Senator I. J. Gorst's insular view of the taxation regime[67] fails to recognise, comprehend and address the tax compliance issues arising at a global level. As multinationals and other entities engage in transnational commercial activities and/or investments, multiple jurisdictions are concerned in the tax matters that arise. It is irrelevant that Jersey law alone appears to respect tax compliance if it can be used as an overall mischief to taxation regimes at an international scale. Richard Murphy would concur, as he stated that Jersey is a secrecy jurisdiction bearing responsibilities for pernicious and industrial-scale tax avoiding activities that ultimately undermine fair markets.[68]

iii) Mauritus

The financial services industry in Mauritus has established itself as a modern and reliable financial services jurisdiction for the management of multinationals, investment funds, protected cell companies and for its system of trusts advantageous for tax planning purposes. This is due to the various benefits that the Mauritus's tax regime offers, including: 0% withholding tax on dividends and interest; 0% CGT; and the recognition of NCP trusts with perpetual duration.[69]

Despite its French civil law foundations, Mauritus trusts[70] has been much influenced by the English common law system. Mauritus's Trusts Act 2001 ("**MTA 2001**") governs trusts created by both resident and non-resident settlor, merging the Trust Act 1989 and the Offshore Trusts Act

[63] Jersey Evening Post, Jersey Tax Avoidance Scheme Judged Illegal (2016), http:jerseyeveningpost.com/news/2016/03/13/jersey-tax-avoidance-scheme-judged-illegal

[64] Murphy, R., Jersey's "Sniff Test" for Tax Avoidance and the Case of a Bad Cold (2013) http://www.taxresearch.org.uk/Blog/2013/07/22/jerseys-sniff-test-for-tax-avoidance-and-the-case-of-a-bad-cold/#sthash.UvMw7b05.dpuf

[65] Ibid. (The level of pungency required in this test is determined by examining the basis of the relevant scheme, with approval granted by HM Revenues & Customs. The question to ask is: "*can it be reasonably explained, or is it just seeking simply to aggressively make hay from a loophole which does not have that opinion or that approval?*")

[66] BBC News, Tax evasion measures welcomed by Jersey Finance (2014) http:www.bbc.co.uk/news/world-europe-jersey-28610780

[67] Ibid. ("*the Deputy is talking about the Jersey tax system and yet these schemes are involved and taking advantage of loopholes in other jurisdictions' tax systems so it is not the same*.")

[68] Murphy, R., On BBC Radio, http://www.taxresearch.org.uk/Blog/2016/04/05/on-bbc-radio-jersey-this-morning-suggesting-they-are-as-much-a-problem-as-other-tax-havens/#sthash.RRbYKWKB.dpuf

[69] S.12(c) and s.19(1), MTA 2001

[70] Governed by the Trust Act 2001, the Code Civil Mauricien and the common law relating to trusts

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1992 regimes, thereby dismantling the ring fencing which has been segregating these two types of trusts.[71]

Mauritus has caught up with the trend of modern trust law and allowed for an enforcer to be appointed[72] to ensure that the trustee does not usurp his discretionary powers[73]. It also has a wide network of tax treaties which can confer advantages such as: tax exemption[74]; reduced withholding taxes on dividends, interest and royalties[75]; and the elimination of double taxation[76].

However, these treaties are often abused to defeat the operation of a domestic anti-avoidance rule[77], indicating an alerting need for a stronger macroeconomic control. For example, Mauritus entered into multitudinous double tax treaties[78], including the one with India which allowed for Mauritus to flourish as a major channel for foreign direct investment into India. However, the two countries soon engaged in amiable discussions to find ways to collaborate in preventing the misuse of the treaty. If countries continue to make deals with others via double tax treaties aside the international tax regime, with NCP trusts and enforcer constructs helping the operations of these treaties, taxation conflicts and abuse may prevail. The Commentary on Article 1 of the UN Model Convention examines various ways to prevent and address the improper use of tax treaties[79], including specific anti-avoidance rule[80], general anti-abuse rule[81], judicial doctrines[82], and specific anti-abuse rules in tax treaties[83]. The arm's length single entity provision may also effectively diminish the ease in avoiding tax[84] if and only if it is internationally applied.

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[71] Tegally, S., Mauritus: Trusts Act 2001 Highlights (2002) http://www.mondaq.com/x/16344/Trusts/Trusts+Act+2001+Highlights

[72] Art.21(3) MTA 2001 (An appointment of an enforcer must be made by a Mauritian national and approved by the Commission)

[73] Art.21(1) MTA 2001 (The enforcer's duty is to "enforce the trust in accordance with its terms and purposes")

[74] Art.13(6), United Nations Model Double Taxation Convention between Developed and Developing Countries (2011) (UN Model Convention)

[75] Art.10-12 UN Model Convention

[76] Art.23A/B UN Model Convention

[77] Baker, P., Improper Use of Tax Treaties, Tax Avoidance and Tax Evasion (2013), Papers on Selected Topics in Administration of Tax Treaties for Developing Countries, paper No.9-A

[78] HM Revenues & Customs, Protocol to the UK/Mauritus Double Taxation Convention, signed in Port Louis on 10/01/11, entered into force on 13/10/11, effective in the UK and Mauritus from 13/10/11, https://www.gov.uk/government/uploads/system/uploads/attachment_data/file/4122488/uk-mauritus-dfc-2011.pdf

[79] [10]-[39] Commentary on Art.1, UN Model Convention

[80] [12]-[19] Commentary on Art.1, UN Model Convention

[81] [20]-[27] Commentary on Art.1, UN Model Convention

[82] [28]-[30] Commentary on Art.1, UN Model Convention

[83] [31]-[33] Commentary on Art.1, UN Model Convention

[84] Ibid, Art.7(2) ("*There shall in each Contracting State be attributed to that permanent establishment the profits which it might be expected to make if it were a distinct and separate enterprise engaged in the same or similar activities under the same or similar conditions and dealing at arm's length with the enterprise of which it is a permanent establishment.*")

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The effectiveness of domestic provisions aiming to combat aggressive tax avoidance schemes may be reduced in a cross-border context for a myriad of reasons.

The enforcer, who does not have much role or power in the Mauritus NCP trusts system apart from ensuring that the purpose of the NCP trusts is met, is of little use in resolving the tax treaty clashes. Moreover, the requirement that an enforcer cannot simultaneously act as a trustee[85], make deals with a trustee[86] or put himself in any conflicting position with his duty to enforce the purpose of the trust[87] aims to increase the gap between the decision maker and the protector of the NCP trust. The possibility of gradually eradicating the nexus between the two can lead to aggressive tax planning.

Furthermore, it may simply be impossible to enforce a tax debt in one country from another, if the assets in question are located offshore.[88] For example, Article 7(1) of the Protocol to the UK/Mauritus Double Taxation Convention leaves the option of cutting the UK tax bills on business profits by establishing an enterprise in Mauritus carrying out genuine business there. However, the taxable activities and assets may go undetected and remain untaxed if a taxpayer's assets or offshore activities are rendered blur by complex transnational pluralistic structures.

[85] Ibid. Art.21(2)
[86] Ibid. Art.21(4)(c)
[87] Ibid. Art.21(4)(a)
[88] HM Revenues & Customs, Protocol to the UK/Mauritus Double Taxation Convention, signed in Port Louis on 10/01/11, entered into force on 13/10/11, effective in the UK and Mauritus from 13/10/11, https://www.gov.uk/government/uploads/system/uploads/attachment_data/file/4122488/uk-mauritus-dfc-2011.pdf ("*The profits of an enterprise of a Contracting State shall be taxable only in that State unless the enterprise carries on business in the other Contracting State through a permanent establishment situation therein. If the enterprise carries on business as aforesaid, the profits of the enterprise may be taxed in the other State, but only so much of them as is attributable to that permanent establishment.*")

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PART II: TAXATION ETHICS

The political and judicial sentiment of hostility towards improper motives of tax avoidance behind the use of artificial trust and corporate forms is increasingly manifested in the contemporary period of austerity.[89] When confronting dodgy commercial schemes, the English courts and government confront a quagmire of taxation purpose paradox ("**TPP"**) between preserving justice; safeguarding public policy; and ensuring a sustainable economic growth. Dialectic discussions continue to be held to save the taxation ethics and justice from becoming a mere symbolic vestige of the rule of law in the commercialising global market. The divergent interpretations of and attitudes towards the taxation ethics illustrate the difficulties in establishing what constitutes political legitimacy in a society where not everyone has equal footing, power, resources and needs.

A) Political-Economic Jurisprudence on Taxation Ethics

There exist contentions as to whether the role of the government is limited to realising socioeconomic order or if it includes the duty to promote the equality of opportunity and welfare. Considerations will be made as to the political-economic jurisprudence on the taxation ethics taxonomy.

Proponents of deontologism would agree that taxation is not merely a "method of payment for government and public services"[90] but also a way for civil polity to ensure economic and distributive justice.[91] Taxation systems must fairly distribute the gains and burdens of social cooperation, its purpose being to ensure that "all citizens [be] supplied with the basic freedom that allows their survival, both physically and rightfully."[92] The Meade Report concurs that a tax system should be horizontally and vertically equitable whilst minimising the clash between economic efficiency and vertical redistribution.[93] In The Wealth of Nations, Adam Smith stipulates four cannons of taxation that helps maintain an efficient and operative market economy; an equitable, proportional and neutral system that respects the rule of law and justice. Jean-Jacques Laffont, on

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[89] *Pitt v Holt* [2013] UKSC 26 (artificial tax avoidance is a social evil"); *Patricial Madge Pitt, David Neville Waite Shores v David Langford Holt, The Commissioners for Her Majesty's Revenue and Customs* [2011] EWCA Civ 197 (Lord Walker possibly introducing another test based on artificially under the guise of public policy.)

[90] Murphy, L., and Nagel, T., The Myth of Ownership: Taxes and Justice (2002), Oxford Scholarship Online

[91] Arneson, R., The End of Welfare as We Know It? Scanlon versus Welfarist Consequentialism (2002) Social Theory and Practice 28, 344 (This is in lines with the distribution-sensitive welfare consequentialism, such as prioritarianism, which also endorses equity over equality. It assigns a greater moral value in supporting the vulnerable individuals who need the benefits generated by the collected tax.)

[92] Banham, G., Kant and the Ethics of Taxation (2012), Kant Studies Online, Journal of Accounting, Ethics & Public Policy, Bol.13, no.3 (This is in line with Hobbes' theory in Leviathan that individual self-preservation forms the gist of social contracts.)

[93] The Institute for Fiscal Studies, The Structure and Reform of Direct Taxation (1978), http://www.ifs.org.uk/docs/meade.pdf

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his part, refers to Kant's Formula of Universal Law[94] in attempts to find means of expanding altruistic behaviour and to minimise, as well as to prevent, the unethical behaviours undermining taxation ethics. Therefore, it can be argued that multinational corporations owe a debt to the civil condition generally and should not be allowed to use convoluted trust and corporate schemes (onshore or offshore) to avoid taxation which *ab initio* enabled their wealth accumulation.[95] Individual rights ought not be entrenched by commercial activities.

Nonetheless, Smith's endorsement of a *laissez-faire* approach to achieve free trade and competition no longer seems to hold in the context of globalization. Moreover, Banham applied the Kantian ethical theory[96] to taxation ethics in conjunction with Rawl's philosophy of right[97], variations of games theory and social choice theory to how this orthodox tax justice analytics developed to normatively evaluate tax policies is obsolete in the modern, globalised setting. Frances Kamm advanced the "doctrine of productive purity" ("**DPP**") under the light of a more contemporary deontologism, which stipulates that a harm becomes permissible only in circumstances where it is an effect or a component of the greater good.[98] If it is considered that the advancement of transnational trade, investments and the market economy amounts to a greater good that supersedes individual rights and justice, the combined use of commercial NCP trusts, the enforcer principle and corporate structures may be permitted – at the expense of leaving tax avoidance issues unresolved. This is in line with the welfare consequentialism which emerged after the law and economics movement which endorses the view that "what makes a state of affairs better or worse is some increasing function of the welfare for persons realized in it."[99]

[94] Laffont, J.J., Macroeconomic Constraints, Economic Efficiency and Ethics: an Introduction to Kantian Economics (1975), Economica 42:4, 430-1 (Note: He omitted the normative rationales for taxation and made unsupported assumptions that beneficence is a sustainable pattern of behaviour – even absent reciprocity.)

[95] Kant and the Ethics of Taxation, Kant Studies Online, Banham, G., Journal of Accounting, Ethics & Public Policy, Vol.13, no.3 (2012)

[96] Kant, I., Critique of Practical Reason (1788), (Cambridge University Press: 2003, Gregor, M., eds) Vol.62, 37-63.4 (Kant's paradox of method suggests that "*the concept of good and evil must not be determined before the moral law but only after it and by means of it*.")

[97] Rawls, J., A Theory of Justice (Cambridge, MA: Belknap Press of Harvard University Press, 1971), ("*The priority of the right over the good*.")

[98] Kamm, F. M. (2007), Chapter 5: Toward the Essence of Nonconsequentialist Constraints on Harming, In Intricate Ethics: Rights, Responsibilities and Permissible Harm. Oxford University press (Reinstatement and revision of the "principle of permissible harm".

[99] Arneson, R., The End of Welfare As We Know It? Scanlon versus Welfarist Consequentialism (2002) Social Theory and practice 28, 325; Kaplow, L., and Shavell, S., Fairness versus Welfare (Cambridge, Massachussetts: Harvard University Press 2002); A. Jean Thomas, Deontology, Consequentialism and Moral Realism, Minerva – An Open Access Journal of Philosophy 19 (2015): 1-24) (A more utilitarian approach would support the "*maximization of aggregate utility and overall welfare over moral concerns*")

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B) Attitudes Towards Tax Avoidance

i) English Courts

Before the case *W T Ramsay v IRC*[100], the English courts generally had the propensity to rule in favour of the principles of business efficacy and predictability. This was especially so in cases where trusts and corporate constructs formed part of an aggressive tax planning seeking to avoid tax. It was argued in the case *Ayrshire Pullman Motor Services & Ritchie v CIR* that "no man is under the smallest obligation, moral or other, so to arrange his legal relations to his business […] to enable the Inland Revenue to put the largest possible shovel into his stores."[101] Provided that the document or transaction is genuine, the court cannot "go behind it to some supposed underlying substance"[102] for the sake of commercial certainty. This is in lines with the decision in the case *Jurgen Von Knieriem v Bermuda Trust*[103], where it was held that an enforcer[104] will not be subject to liability absent actual proof of bad faith and improper motive, if his power was "exercised in the best interest of the trust."[105] The case *IRC v McGuckian*[106] denotes a shift away from formalism towards purposive methods of construction of statutory provisions relating to fiscal matters. The case *MacNiven v Westmoreland*[107] put a further emphasis on the importance of commercial purposes. Nevertheless, courts incrementally started to put more weight to ensuring that the aforementioned principles do not incentivise creative tax planning for the purpose of mercenary tax avoidance.[108] Despite these efforts, the English courts have failed to devise a clear formula and/or test to identify and resolve the uncertainties as to what constitutes unethical tax avoidance and what remains an acceptable tax planning.[109]

ii) Governments

Multitudinous domestic and international measure have been introduced to prevent the trusts, corporate and fiscal schemes from unethically enhancing the power and wealth of "global elites for whom taxes are as certain as death."[110] These measures include the Disclosure of Tax

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[100] [1982] AC 300; see also *Collector of Stamp Revenue v Arrowtown Assets* 6 ITLR 454 (Reiterating the Ramsay principle that "*there must be a series of transactions which are pre-ordained and into which there are inserted steps that have no commercial purpose apart from tax avoidance*" later applied in *IRC v Burmah Oil Co Ltd* ([1982] STC 30) with some modifications.)

[101] (1929) 14 TC 754

[102] *IRC v Duke of Westminister* [1936] 19 TC 490

[103] [1994] Bermuda Law Review 50. Civil Jur. No.154

[104] Often necessary in upholding commercial NCP trusts regardless the construct's "true purpose".

[105] Andrew Holden, Trust Enforcers, (Brownbill ed.2011), para 5.15 at 118

[106] [1997] STC 908

[107] [2001] STC 237

[108] *Furniss v Dawson* ([1984] STC 153) and *Craven v White* ([1988] STC 476 HL), endorsing and extending the Ramsay principle.

[109] MacLaughlin, M., The Ramsay Principle (2000), http://www.taxationweb.co.uk/tax-articles/general/the-ramsay-principle.html

[110] The Economist, What are the Panama Papers and Why Do They Matter? (2016), http://www.economist.com/blogs/economist-explains/2016/04/economist-explains-1

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Avoidance Schemes ("**DOTAS**") reporting requirements, the General Anti Abuse Rules ("**GAAR**"), the HM Revenues & Customs' Base Erosion and Profit Shifting ("**BEPS**") Action Plan[111] and the Anti-Tax Avoidance Directive ("**ATAD**")[112], amongst others. This suggests an international recognition that governments should, to a certain extent, intervene and act upon unethical tax avoidance behaviours which has various negative repercussions to the global market economy and justice.[113] However, opprobrium prevails as result of the international and domestic tax regime conflicts alongside the lack of enforceability and bindingness of the international tax measure set to prevent tax avoidance.[114] This is not facilitated by the hardships in identifying "where artificial tax avoidance begins and sensible tax planning ends"[115] and the fact that not all

[111] Designed to harmonise and modernise the global tax policies, it contained a country-by-country reporting requirement, including the amount of revenue, profit and tax paid in each country in which they do business, along with details on total employment, capital and assets used in each location.; see Harpaz, J., Forbes, The Real Cost of Global Tax Reform: An Unsustainable Increase in Accounting and Legal Fees (2015) (On concerns that the BEPS project could result in conferring undue discretion to tax authorities in levying tax and increase commercial uncertainty: "[*corporations' activities are already being scrutinised via costly investigations, audits, and conflict resolutions.*]" Taxpayers' rights must also be safeguarded.); International Tax European Union Tax Alert (2016), https://www2.deloitte.com/content/dam/Deloitte/global/Documents/Tax/dttl-tax-alert-european-union-28-january-2016.pdf (On the importance of Member States "[*transposing political commitments under BEPS into their national systems in a coherent and sufficiently coordinated fashion*]" for the efficient operations of the Internal Market.)

[112] Murphy, R., 31 Countries Sign up to Country-by-Country Reporting (2016), http://www.taxresearch.org.uk/Blog/2016/01/28/31-countries-sign-up-to-country-by-country-reporting/;Goodle's Unfair Tax is Actively Supported by the UK Government (2016), http://www,taxresearch.org.uk/Blog/2016/01/28/googles-unfair-tax-is-actively-supported-by-the-uk-government (endorsed by Moscovici who believed that this directive will help remove the temptation for multinationals to artificially divert income offshore, by requiring them to file a single European tax return.); 31 countries sign up to country-by-country reporting (2016) http://www.taxresearch.org.uk/Blog/2016/01/28/31-countries-sign-up-to-country-by-country-reporting/ (The UK demurs this proposition on grounds that the Directive would impede the process of attracting jobs and foreign investments.)

[113] Butler, S., and Rankin, J., 'Cheap' Google Deal Sets Bad Precedent, Says Tax Expert (2016) http://www.theguardian.com/politics/2016/jan/24/cheap-google-deal-sets-bad-precedent-says-tax-expert-richard-murphy ("*Tax diplomacy, like politics, is the art of the possible. But failing to push harder for a radical overhaul, at a time when the planets were aligned for change, looks like a costly mistake*."); Wren-Lewis, S., Ordoliberalism, Neoliberalism and Economics (2014) https://www.socialeurope.eu/2014/01/ordoliberalism-neoliberalism-economics/ (The ordoliberalism economic philosophy, developed by economists like Walter Eucken, and Hans Grobman-Doerth in response to the consequences of unfettered liberalism post-World War II, suggests that the business community alone cannot be trusted to serve the common interest.)

[114] BEPS Actions 6, Final Report (2015), failed to shed light on the anti-abuse standards used to properly distinguish between lawful tax planning and treaty abuse; Andres Baez Moreno GAARs and Treaties. From the Guiding Principle to the Principal Purpose Test. What have we gained from BEPS Action 6? (2016), http://ssrn.com/abstract=2722459

[115] Evans, S., It's "Clean Hands" Again: the Dirtiness of Not Paying Tax Considered in the Supreme Court (2015) 79 Conv., Issue 1; Perez & Baez, A., The 2003 Revisions to the Commentary to the OECD Model on Tax Treaties and GAARs: A Mistaken Starting Point in Tax Treaties: Building Bridges between Law and Economics (M. Lang et. al. eds., IBFD 2010), Online Books IBFD, 132-

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multinationals respond and actively take measures to implement these international tax rules.[116] More recently, it has been announced that the European Union is planning to controversially relax ownership transparency requirements for shell companies in its Fourth Anti-Money Laundering Directive (2015/849).[117]

In Ipsos MORI's IBE Survey, tax avoidance was held to be one of the top ethics issues that the British public believed that business had to address.[118] Although the UK appears to subscribe to the international tax justice movement, it does not take proactive, interventionist measures to defeat the legal gaps, uncertainties and deficiencies that can lead to vile commercial practices. For example, the UK's overseas territories and crown dependencies "do not operate a properly transparent public register of offshore companies, trusts and foundations."[119] This is indicative of the UK's will to remain "open for business"[120] as a tax haven, as suggests the recent Google deal[121]. The latter suggests that commercial purposes override social justice and the UK's conformity with the view that "it is the task of the legislature to review this [matter] in relation to the generic standards of right."[122] The UK's efforts to salvage multinationals' activities from being

138. (Proposing the concept of 'artificiality' or 'inappropriate arrangement' as basis of taxation assessment.)

[116] Harpaz, J., Apple, McDonald's, Ikea and Google in the spotlight, as tax controversies heat up in 2016 (2016) https://blogs.thomsonreuters.com/answerson/corporate-tax-controversy-apple-mcdonalds-ikea-google/

[117] The EU is planning to make it easier to own offshore shell companies (2016) http://www.taxresearch.org.uk/Blog/2016/04/09/the-eu-is-planning-to-make-it-easier-to-own-offshore-shell-companies/#sthash.loUDGBZG.dpuf

[118] Back, P.F., Avoiding Tax May Be Legal, But Can It Ever Be Ethical? (2013) http://www.theguardian.com/sustainable-business/avoiding-tax-legal-but-ever-ethical

[119] Simon Bowers, Britain rules the world of tax havens, Queen is warned (2013) http://www.theguardian.com/business/2013/nov/07/britain-tax-havens-queen-secrecy-justice-network

[120] Ibid. (The UK remains "*the most important part of the global offshore system of tax havens and secrecy jurisdictions*."); Kilbrandon Report (1973) HC Deb 29 July 1974 Vol. 878 cc 261-310 (The Report outlines UK's complex constitutional nexus with its overseas territories and dependencies and states that is "*highly desirable that the institutions and the practices of the islands should not differ beyond recognition from those of the UK.*"); see also Ministry of Justice, Background briefing on the Crown Dependencies: Jersey, Guernsey and the Isle of Man https://www.justice.gov.uk/downloads/about/moj/our-responsibilities/Background_Briefing_on_the_Crown_Dependencies2.pdf

[121] What Does the Google Deal Really Say? (2016) http://www.taxresearch.org.uk/Blog/2016/01/23/what-does-the-google-deal-really-say/; Corporate Tax, Going After Google (2016), http://www.economist.com/news/leaders/21689546-britains-tax-men-struck-poor-deal-real-problem-lies-flawed-international?fsrc=scn/fb/te/pe/ed/goingaftergoogle

[122] Kant and the Ethics of Taxation, Kant Studies Online, Banham, G., Journal of Accounting, Ethics & Public Policy, Vol.13, no.3 (2012); The Ethics of Tax Avoidance (2010) http://www.taxresearch.org.uk/Blog/2010/12/17/the-ethics-of-tax-avoidance/

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classified as "tax avoidance" is further shown by HM Revenue & Customs' 2016 Issue briefing, stating that "the way that Corporation Tax works"[123] does not amount to tax avoidance.[124]

To overhaul the divergent international tax rules that could lead to unethical behaviours relating to tax compliance, tax policies should be underpinned by the guiding ethical principles of accountability, transparency and consistency. There is also a need for an economic integration across borders adjunct to a more transparent overall tax regime. Harmonization will engender benefits such as: securing the governments' revenue; determining the creation and use of complex, obscure tax avoidance schemes; and level the playing field for businesses. Instead of taxing multinationals according to their corporate legal forms which can be transmuted via the creation of artificial trust forms and shell companies, the taxation system can be based on the genuine economic substance of their commercial practices. Following the single economic entity proposal[125], multinationals can be required to submit a comprehensive report providing consolidated accounts as to which commercial activities operate in which forum as well as a specification on the variable or fix costs (e.g., assets and workforce) and profits of the business. A proportionality test could be used to assess which tax law and rules will apply to which parts of the business.

[123] HM Revenues & Customs, Issue Briefing Taxing the Profits of Companies That Are Not Resident in the UK (2016) https://www.gov.uk/government/publications/issue-briefing-taxing-the-profits-of-companies-that-are-not-resident-in-the-uk

[124] Maugham, J., HMRC redefines tax avoidance to exclude Google, Facebook, Amazon (2016) https://waitingfortax.com/2016/03/02/hmrc-redefines-tax-avoidance-to-exclude-google-faebook-amazon/ ("*HMRC is going out of its way to provide political cover for business which engage in abusive tax practice.*")

[125] Murphy, R., What Can We Do About the UK's Tax Havens? My Manifesto For Change (2016) http://taxresearch.org.uk/Blog/2016/04/06/what-we-can-do-about-the-uks-tax-havens-my-manifesto-for-change/#sthash.7BZaBt9g.dpuf

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CONCLUDING THOUGHTS: WHERE ARE WE NOW?

The enforcer scheme can aid aggressive tax planning where commercial NCP trust mechanisms are incorporated in obscure, artificial structures constructed to avoid tax. It is no surprise that all the offshore jurisdictions that have recognised the role of the enforcer are what the former British cabinet minister Vince Cable called "sunny places for shady people"[126], i.e., tax havens.

Despite many efforts to ensure a legitimate and ethical tax regime, the world's tax rules have not kept pace with profound changes in the global economy. The uncoordinated asymmetries arising from the interface between the divergent domestic and international application of these tax rules leaves space for dodgy schemes. The result is a "[system of ever-growing complexity, creating conflicts exposing multinationals to double taxation and rising public obloquy.][127]" Lower corporation taxes and tax holidays are effective in attracting foreign direct investment but may not boost gross private fixed capital formation or growth, as "tax incentives don't bring in real plants and machinery – they just help reshape the financial juggling."[128]

Hence, inversion tax, transfer pricing, and profit-shifting and other unethical tax avoidance practices will remain if the anti-tax-avoidance rules remain lax and are not extended to secrecy jurisdictions as well as to the system of commercial NCP trusts. We should strive to quest legal uniformity and unitary tax regimes to improve tax compliance onshore and offshore.

[126] BBC, Why Do Offshore Tax Havens Still Exist? (2015), http://www.bbc.co.uk/news/business-33628020

[127] Picciolotto, S., and Shaxson, N., Make Corporate Tax Rules Fair For All (2012) http://www.ft.com/cms/s/0/798f30d2-3242-11e2-916a-00144feabdc0.htm#axzz43dm1o5Ld

[128] IMF Empirical Evidence on the Effects of Tax Incentives; HM Revenues & Customs, HM Treasury, Overvie of Tax Legislation and Rates (2016) https://www.gov.uk/government/uploads/system/uploads/attachment)data/file/508859/OOTLAR_complete_for_publication.pdf (UK Corporation tax rate will decrease from 18% to 17% in 2020, lowest in the G20 with aims of supporting a more competitive corporate tax system that will provide the right conditions for business investment and growth.)

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ANNEX 1

TAX RATES (2015)[129]

	Corporate Tax	Capital Gains Tax ("CGT")
United Kingdom	➢ 20%[130]	➢ 10%: CGT qualifying for entrepreneurs' relief[131] ➢ 20%: Non-Residents CGT gains[132]
Cayman Islands	➢ 0%	➢ 0%
Jersey	➢ 10%: financial services companies ➢ 20%: utility companies ➢ 20%: income immovable property ➢ 0%: others	➢ 0%
Mauritus	➢ 15%: GBC1 companies ➢ 0%: GBC2 companies ➢ 0%: other companies (Alternative Minimum Tax may apply)	➢ 0%

[129] World Tax, https://www.world.tax/comparisons/compare-tax-systems.php
[130] Part I, Ch.1, s.6, Finance Act 2015
[131] S.4(1), s.169N(3), Taxation of Chargeable Gains Act 1992 (TCGA)
[132] S.4(3B) TCGA 1992

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